

PepsiCo Response to OSTP and NSF Request for Information on the AI Action Plan

PepsiCo appreciates the opportunity to provide input on the development of a National Artificial Intelligence (AI) Action Plan. As a global leader in food and beverage manufacturing, PepsiCo is committed to leveraging AI to enhance workforce capabilities, drive innovation, and strengthen cybersecurity. AI is a tool for efficiency as well as a catalyst for human potential, economic growth, and responsible corporate citizenship.

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Workforce Development and AI Integration: AI should be seen as a complement to augment human labor, enhancing productivity rather than replacing workers, other than limited exceptions. At PepsiCo, we have embraced AI to automate tedious and repetitive tasks, allowing employees to focus on high value, fulfilling work.

- **Upskilling and Culture of Innovation:** With over 130,000 US-based employees — many of whom are in front-line roles responsible for making, moving, and selling its products — PepsiCo is committed to empowering employees to grow and upskill into better and more meaningful roles. To that end, PepsiCo has pioneered initiatives to ensure our workforce remains equipped for the AI-driven economy. Through personalized education programs, reskilling efforts, and AI-assisted training, we empower employees to thrive in a rapidly evolving labor market. Programs such as AI literacy workshops, interactive learning platforms, and cross-functional AI deployment teams help employees stay ahead of technological advancements.
 - Digital Academy offers a multi-level curriculum with more than 50,000 learning assets, from short how-to videos to more advanced courses. Already more than 23,000 associates have participated, earning nearly 1,000 certifications.
 - MyDevelopment is PepsiCo's internal talent marketplace, offering more than 500 "stretch projects," which allow associates and managers to discover and apply for meaningful development opportunities within the company and decide on a potentially new career path.
 - MyEducation provides access to 85 diploma, certificate, and degree options in a variety of fields – at no costs to the employee.
- **AI as a Productivity Enhancer:** Many frontline workers spend their days on tasks that can be repetitive and time-consuming. AI enables quicker and more precise decision-making, enhancing operational efficiency while humans continue to remain the ultimate decision-makers. Examples include AI-driven logistics optimization, quality control in manufacturing, and AI-assisted customer service tools that improve response times and user experience.

- **Small and Medium-Sized Manufacturers:** PepsiCo is not only focused on its own employees but also committed to sharing its insights to inspire other organizations to adopt a worker-focused approach to the future of manufacturing. To support this, PepsiCo partnered with the Aspen Institute to bring together experts, analyze the landscape, and develop a guide for manufacturers considering integrating automation - whether AI-powered or not - into their operations. The research outlines three key priorities for employers: 1. Minimize the risks of automated systems, 2. Upskill workers to maximize the value of automation investments, and 3. Retain workers and preserve essential institutional knowledge.
- The guide highlights that although some employers may view AI and automation as immediate solutions, deployment must be done responsibly; hasty implementation can have negative consequences. The dual goals of improving worker autonomy and adapting to new technologies are therefore not only compatible, but essential for business success.
- **Supporting Suppliers in their AI Integrations:** In addition to being “the right thing to do,” supporting suppliers and partners through incorporating AI can bring positive performance and financial benefits to large organizations.

One example of supporting suppliers is PepsiCo’s partnership with farmers; in 2024, PepsiCo worked with over 12,000 farmers across the United States and sourced over 1.6 million metric tons of potatoes and 1.4 million metric tons of corn.

PepsiCo collaborates with its agricultural partners to provide digital farm management solutions, such as predictive analytics and precision farming. These real-time data tools help farmers gain deeper insights into crop development and make informed decisions about their farming activities. These smart farming practices not only boost crop profitability but also minimize water waste and pesticide use, promoting sustainable farming practices for future generations.

- **Policy Recommendation:** AI is reshaping skill requirements across industries. Policymakers should collaborate with employers to launch large-scale reskilling and upskilling programs that prepare workers for an AI-augmented economy. Public-private partnerships can be a crucial driver in providing accessible education and training programs that support a resilient and adaptive workforce.

AI, Innovation, and American Competitiveness: As a U.S.-based corporation, PepsiCo recognizes that AI will be a driving force behind economic growth and innovation. Ensuring American leadership in AI is critical for maintaining global competitiveness.

- **Economic Growth and Competitive Edge:** AI is fundamental to maintaining a competitive edge in the global economy. Falling behind in AI development would jeopardize U.S. companies' market share and innovation potential. AI-driven automation, supply chain optimization, and real-time consumer insights are key factors to ensure that businesses remain agile and adaptive in an increasingly digital marketplace.

- **AI as a Catalyst for Innovation:** AI fosters breakthroughs in multiple industries, creating new economic sectors and generating jobs that do not exist today. From AI-driven research and development to the creation of smart manufacturing facilities, AI-driven processes redefine the possibilities of product innovation and efficiency.
- **Investment in AI Talent:** The ability to attract and retain AI-skilled workers will be critical for the U.S. economy and increased public and private investment in AI education and training is essential. Investment in STEM programs, AI-specific certification programs, and apprenticeship opportunities will help build a robust AI-ready workforce.
- **Policy Recommendation:** Governments should foster AI-driven productivity and economic growth by investing in AI research and development while encouraging best practices and competition in the marketplace. Policymakers should explore tax incentives and funding mechanisms to support AI innovation hubs and industry partnerships that accelerate AI adoption across sectors.

Cybersecurity Considerations: As AI increasingly integrates into critical infrastructure and corporate operations, cybersecurity must be a top priority.

- **AI and Cybersecurity Philosophy:** As part of PepsiCo's ongoing transformation, we are focused on leveraging AI to drive significant transformations while carefully managing its risks. The rapid advancement of AI technology has expanded our exposure to a wider range of risks, including security issues and intellectual property infringement, all of which are part of a complex and evolving threat landscape. PepsiCo manages and minimizes this risk through our Responsible AI Framework, which guides our internal teams as they define and align appropriate risk management strategies.
- **AI as a Tool:** At the same time, AI enhances PepsiCo's cybersecurity framework by helping to detect anomalies, automate threat responses, and predict potential cyber threats before they materialize. AI-powered threat intelligence platforms provide real-time monitoring and adaptive defense mechanisms to safeguard sensitive data and protect against evolving cyber risks.
- **Policy Recommendation:** Public-private collaboration is necessary to develop AI-driven cybersecurity strategies that safeguard U.S. companies against evolving digital threats while fostering responsible AI governance. Standardized regulatory frameworks and industry-wide best practices should be established to ensure the security and ethical use of AI-driven cybersecurity solutions.

AI and Energy Efficiency: PepsiCo is committed to balancing AI adoption with our larger "pep+" mission to build a more people-centric future.

- **Transparency and Renewable AI Solutions:** Those deploying AI should have the ability to opt for AI solutions that prioritize energy efficiency and renewable energy sources. AI-powered energy management systems can optimize resource use and reduce carbon footprints.

- **AI for Sustainable Agriculture:** AI-powered predictive analytics and precision farming techniques enable PepsiCo to optimize resource use and improve crop yields, promoting regenerative farming. AI-driven irrigation and soil analysis enhance water conservation efforts and improve agricultural efficiency.
- **Carbon Footprint Reduction:** Generative AI models help track and minimize emissions across PepsiCo's manufacturing and logistics networks, enhancing energy efficiency and environmental responsibility. AI-powered logistics planning ensures efficient transportation routes, reducing fuel consumption and emissions.
- **Policy Recommendation:** Federal AI policies should support transparency requirements that empower deployers of AI to voluntarily choose more energy-efficient providers

Continuing to Influence Globally

For decades, NIST has been a driving force in setting standards and best practices that have bolstered U.S. leadership in emerging technologies, including artificial intelligence. Its rigorous, consensus-driven approach has not only strengthened domestic AI governance but has also positioned the U.S. as a global standard-bearer for responsible AI innovation. Foundational work like the NIST AI Risk Management Framework served as a critical tool in promoting risk-based, flexible, and innovation-friendly AI policies, influencing allies and partners to adopt governance models that align with U.S. principles. By fostering international collaboration and shaping global AI norms, NIST has ensured that American AI policy remains at the forefront of global discussions. As the administration advances its AI Action Plan, it is imperative that NIST continues to play a central role in harmonizing AI policy across borders. Leveraging NIST's longstanding expertise will be essential to deepening AI policy coordination with allies, strengthening transatlantic and Indo-Pacific AI partnerships, and ensuring that pro-innovation regulatory approaches remain the global standard.

For U.S. multinational companies like PepsiCo, it is critical that agencies like NIST have the adequate support and funding that they need to carry out Congressional and Administration mandates, especially around:

- Advancing innovation and technology development through uniform standards and best practices;
- Driving economic growth by fostering an innovative ecosystem that empowers U.S. companies to compete globally; and
- Enhancing cybersecurity guidelines that protect companies and the government against new and evolving cyber threats.

Conclusion: PepsiCo supports a national AI strategy that prioritizes workforce empowerment, innovation, and cybersecurity. AI should not be feared as a disruptor but embraced as a tool that enhances human ingenuity and economic growth. By fostering an AI ecosystem that values collaboration, transparency, and responsible innovation, policymakers can ensure AI is deployed effectively and responsibly, benefiting both businesses and society at large.

PepsiCo appreciates NSF and OSTP's efforts to gather diverse stakeholder input in shaping the administration's AI policy agenda. Embracing a regulatory approach that fosters innovation while supporting economic growth will be essential to AI's continued advancement. As this work progresses, we look forward to ongoing engagement with the administration to support a responsible AI framework that safeguards consumers without hindering innovation.